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Natural Expense Classification

[Glossary Term Usage](#) | See Topic(s): [220](#) , [958](#)

A method of grouping expenses according to the kinds of economic benefits received in incurring those expenses. Examples of natural expense classifications include salaries and wages, employee benefits, professional services, supplies, interest expense, rent, utilities, and depreciation.

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Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [220-40-65-1](#)

A method of grouping expenses according to the types of economic benefits received in incurring those expenses. Examples of natural expense classifications include salaries and wages, employee benefits, nonemployee professional services, supplies, interest expense, rent, utilities, and depreciation.

Natural Resources

[Glossary Term Usage](#) | See Topic(s): [410](#)

Under the Comprehensive Environmental Response, Compensation, and Liability Act of 1980, natural resources are defined as land, fish, wildlife, biota, air, water, groundwater, drinking water supplies, and other such resources belonging to, managed or held in trust by, or otherwise controlled by the United States, state or local governments, foreign governments, or Indian tribes.

Near Term

[Glossary Term Usage](#) | See Topic(s): [275](#)

A period of time not to exceed one year from the date of the financial statements.

Net Amount at Risk (Relating to Variable Annuity Contracts)

[Glossary Term Usage](#) | See Topic(s): [944](#)

The guaranteed benefit in excess of the current account balance. For guarantees in the event of death, the net amount at risk is the minimum guaranteed amount available to the contract holder upon death in excess of the contract holder's account balance at the balance sheet date. For guarantees of amounts at annuitization, the net amount at risk is defined as the present value of the minimum guaranteed annuity payments available to the contract holder determined in accordance with the terms of the contract in excess of the current account balance.

Net Asset Information

[Glossary Term Usage](#) | See Topic(s): [960](#)

Information regarding the net assets available for benefits.

Net Asset Value per Share

[Glossary Term Usage](#) | See Topic(s): [820](#) , [946](#)

Net asset value per share is the amount of net assets attributable to each share of capital stock (other than senior equity securities, that is, preferred stock) outstanding at the close of the period. It excludes the effects of assuming conversion of outstanding convertible securities, whether or not their conversion would have a diluting effect.

Net Assets

[Glossary Term Usage](#) | See Topic(s): [230](#) , [958](#)

The excess or deficiency of assets over liabilities of a not-for-profit entity, which is divided into two mutually exclusive classes according to the existence or absence of donor-imposed restrictions. See [Net Assets with Donor Restrictions](#) and [Net Assets without Donor Restrictions](#).

Net Assets Available for Benefits

[Glossary Term Usage](#) | See Topic(s): [960](#) , [962](#) , [965](#)

The difference between a plan's assets and its liabilities. For purposes of this definition, a plan's liabilities do not include participants' accumulated plan benefits.

Net Assets with Donor Restrictions

[Glossary Term Usage](#) | See Topic(s): [230](#) , [954](#) , [958](#)

The part of net assets of a not-for-profit entity that is subject to [donor-imposed restrictions](#) (donors include other types of contributors, including makers of certain grants).

Net Assets without Donor Restrictions

[Glossary Term Usage](#) | See Topic(s): [230](#) , [954](#) , [958](#)

The part of net assets of a not-for-profit entity that is not subject to [donor-imposed restrictions](#) (donors include other types of contributors, including makers of certain grants).

Net Carrying Amount of Debt



[Glossary Term Usage](#) | See Topic(s): [470](#)

Net carrying amount of debt is the amount due at maturity, adjusted for unamortized premium, discount, and cost of issuance.

Net Cash Settlement



Definition 1 | [Glossary Term Usage](#) | See Topic(s): [815](#)

The party with a loss delivers to the party with a gain a cash payment equal to the gain, and no shares are exchanged.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [480](#)

A form of settling a financial instrument under which the entity with a loss delivers to the entity with a gain cash equal to the gain.

Net Closed Block Liability



[Glossary Term Usage](#) | See Topic(s): [944](#)

The carrying amount of closed block liabilities in excess of the carrying amount of closed block assets each adjusted to eliminate the effect of related amounts in accumulated other comprehensive income at the actuarial calculation date. Deferred acquisition costs are not assets of the closed block.

Net Income



[Glossary Term Usage](#) | See Topic(s): [205](#) , [220](#)

A measure of financial performance resulting from the aggregation of revenues, expenses, gains, and losses that are not items of [other comprehensive income](#). A variety of other terms such as net earnings or earnings may be used to describe net income.

Net Income Unitrust



[Glossary Term Usage](#) | See Topic(s): [958](#)

A trust established in connection with a split-interest agreement, in which the donor or a third-party beneficiary receives distributions during the agreement's term of the lesser of the net income earned by the trust or a fixed percentage of the fair value of the trust's assets, with or without recovery and distribution of the shortfall in a subsequent year. Upon termination of the trust, a not-for-profit entity (NFP) receives the assets remaining in the trust.

Net Incurred Claims Cost (by Age)

[Glossary Term Usage](#) | See Topic(s): [715](#)

The employer's share of the cost of providing the postretirement health care benefits covered by the plan to a plan participant; incurred claims cost net of retiree contributions. See [Incurred Claims Cost \(by Age\)](#).

Net Investment in an Original Loan

[Glossary Term Usage](#) | See Topic(s): [310](#)

The net investment in an original loan includes the unpaid loan principal, any remaining unamortized net fees or costs, any remaining unamortized purchase premium or discount, and any accrued interest receivable.

Net Investment in the Lease

[Glossary Term Usage](#) | See Topic(s): [255](#) , [805](#) , [842](#)

For a [sales-type lease](#), the sum of the [lease receivable](#) and the [unguaranteed residual asset](#).

For a [direct financing lease](#), the sum of the lease receivable and the unguaranteed residual asset, net of any deferred selling profit.

Net Level Premium Reserve

[Glossary Term Usage](#) | See Topic(s): [944](#)

The excess, if any, of the present value of future guaranteed death and endowment benefits over the present value of future net premiums.

Net Periodic Pension Cost

[Glossary Term Usage](#) | See Topic(s): [715](#)

The amount recognized in an employer's financial statements as the cost of a pension plan for a period. Components of net periodic pension cost are service cost, interest cost, actual return on plan assets, gain or loss, amortization of prior service cost or credit, and amortization of the transition asset or obligation existing at the date of initial application of Subtopic [715-30](#). The term net periodic pension cost is used instead of net pension

expense because the service cost component recognized in a period may be capitalized as part of an asset such as inventory.

Net Periodic Postretirement Benefit Cost

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[Glossary Term Usage](#) | See Topic(s): [715](#)

The amount recognized in an employer's financial statements as the cost of a postretirement benefit plan for a period. Components of net periodic postretirement benefit cost include service cost, interest cost, actual return on plan assets, gain or loss, amortization of prior service cost or credit, and amortization of the transition obligation or asset.

Net Premiums

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[Glossary Term Usage](#) | See Topic(s): [944](#)

For traditional long-duration insurance contracts, the net premium is that portion of the [gross premium](#) required to provide for all benefits and expenses. For long-duration participating life insurance contracts that meet the criteria in paragraph [944-20-15-3](#), the net premium is a constant ratio of guaranteed maximum gross premiums. The ratio is calculated at issue, so that the present value of all guaranteed death and endowment benefits is equal to the present value of all net premiums.

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Transition Date:  December 16, 2022;  December 16, 2024 | **Transition Guidance:** [944-40-65-2](#)

For traditional and limited-payment long-duration insurance contracts, the net premium is that portion of the [gross premium](#) required to provide for all benefits and expenses, excluding acquisition costs or any costs that are required to be charged to expense as incurred. For long-duration participating life insurance contracts that meet the criteria in paragraph [944-20-15-3](#), the net premium is a constant ratio of guaranteed maximum gross premiums. The ratio is calculated at issue, so that the present value of all guaranteed death and endowment benefits is equal to the present value of all net premiums.

Net Realizable Value

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[Glossary Term Usage](#) | See Topic(s): [270](#) , [275](#) , [330](#) , [360](#) , [830](#) , [905](#)

Estimated selling prices in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation.

Net Share Settlement

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Definition 1 | [Glossary Term Usage](#) | See Topic(s): [480](#)

A form of settling a financial instrument under which the entity with a loss delivers to the entity with a gain shares of stock with a current fair value equal to the gain.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [815](#)

The party with a loss delivers to the party with a gain shares with a current fair value equal to the gain.

Net Worth



[Glossary Term Usage](#) | See Topic(s): [274](#)

The difference between total assets and total liabilities, after deducting estimated income taxes on the differences between the estimated current values of assets and the estimated current amounts of liabilities and their tax bases.

Network Affiliation Agreement



[Glossary Term Usage](#) | See Topic(s): [920](#)

A broadcaster may be affiliated with a network under a network affiliation agreement. Under the agreement, the station receives compensation for the network programming that it carries based on a formula designed to compensate the station for advertising sold on a network basis and included in network programming. Program costs, a major expense of television stations, are generally lower for a network affiliate than for an independent station because an affiliate does not incur program costs for network programs.

New Basis Event



[Glossary Term Usage](#) | See Topic(s): [815](#)

See [Remeasurement Event](#).

NFP



NO INCOMING LINKS

See [Not-for-Profit Entity](#).

Nominee Shareholder



[Glossary Term Usage](#) | See Topic(s): [810](#)

One or more shareholders whose relationship with the physician practice management entity (which can be either the physician practice management entity itself or its controlled subsidiaries) perpetually has all of the following characteristics:

a. Time Frame:

1. The physician practice management entity can at all times establish or effect a change in the nominee shareholder.
2. The physician practice management entity can cause a change in the nominee shareholder an unlimited number of times, that is, changing the nominee shareholder one or more times does not affect the physician practice management entity's ability to change the nominee shareholder again and again.

b. Discretion:

1. The physician practice management entity has sole discretion without cause to establish or change the nominee shareholder.
2. The physician practice management entity can name anyone as a new nominee shareholder (that is, the physician practice management entity's choice of an eligible nominee is not limited).

c. Impact:

1. The physician practice management entity and the nominally owned entity incur no more than a nominal cost to cause a change in the nominee shareholder.
2. Neither the physician practice management entity nor the nominally owned entity is subject to any significant adverse impact upon a change in the nominee shareholder.

Nonaccretable Difference

NO INCOMING LINKS

A loan's contractually required payments receivable in excess of the amount of its cash flows expected to be collected.

Nonconsenting Class

[Glossary Term Usage](#) | See Topic(s): [852](#)

A class of creditors or stockholders that does not approve the proposed plan.

Noncontributory Plan

[Glossary Term Usage](#) | See Topic(s): [965](#)

A pension or other postretirement benefit plan under which participants do not make contributions.

Noncontrolling Interest

[Glossary Term Usage](#) | See Topic(s): [220](#) , [260](#) , [323](#) , [350](#) , [480](#) , [610](#) , [740](#) , [805](#) , [810](#) , [815](#) , [830](#) , [932](#) , [942](#) , [958](#) , [970](#) , [974](#)

The portion of equity (net assets) in a subsidiary not attributable, directly or indirectly, to a parent. A noncontrolling interest is sometimes called a minority interest.

Nonfinancial Asset

[Glossary Term Usage](#) | See Topic(s): [805](#) , [810](#) , [820](#) , [958](#)

An asset that is not a [financial asset](#). Nonfinancial assets include land, buildings, use of facilities or utilities, materials and supplies, intangible assets, or services.

Nonforfeiture Benefits

[Glossary Term Usage](#) | See Topic(s): [944](#)

Those benefits in a life insurance contract that the policyholder does not forfeit, even for failure to pay premiums. Nonforfeiture benefits usually include cash value, paid-up insurance value, or extended-term insurance value.

Nongovernmental Entity

[Glossary Term Usage](#) | See Topic(s): [105](#) , [958](#)

An entity that is not required to issue financial reports in accordance with guidance promulgated by the Governmental Accounting Standards Board or the Federal Accounting Standards Advisory Board.

Nonintegrated Contract Feature

[Glossary Term Usage](#) | See Topic(s): [944](#)

A contract feature in which the benefits provided are not related or dependent on the provisions of the base contract.

Nonmanaging Investors

[Glossary Term Usage](#) | See Topic(s): [946](#)

See [Nonregistered Investment Partnerships—Financial Highlights](#).

Nonmember of an Agricultural Cooperative

[Glossary Term Usage](#) | See Topic(s): [905](#)

A nonmember [patron](#) is not entitled to voting privileges. A nonmember patron may or may not be entitled to share in patronage distributions, depending on the articles and bylaws of the [agricultural cooperative](#) or on other agreements.

Nonmonetary Assets and Liabilities

[Glossary Term Usage](#) | See Topic(s): [845](#)

Nonmonetary assets and liabilities are assets and liabilities other than monetary ones. Examples are inventories; investments in common stocks; property, plant, and equipment; and liabilities for rent collected in advance.

Nonparticipating Annuity Contract

[Glossary Term Usage](#) | See Topic(s): [715](#)

An annuity contract that does not provide for the purchaser to participate in the investment performance or in other experience of the insurance entity.

Nonparticipating Insurance Contract

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [715](#)

An insurance contract that does not provide for the purchaser to participate in the investment performance or in other experience of the insurance entity. See [Insurance Contract](#).

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

Insurance contracts that are not entitled to dividends. Usually issued by a stock life insurance entity at premium rates that are usually lower than those charged if dividends are payable. Mutual entities may issue nonparticipating contracts.

Nonperformance Risk

[Glossary Term Usage](#) | See Topic(s): [815](#) , [820](#)

The risk that an entity will not fulfill an obligation. Nonperformance risk includes, but may not be limited to, the reporting entity's own credit risk.

Nonprofit Activity

[Glossary Term Usage](#) | See Topic(s): [205](#) , [350](#) , [360](#) , [610](#) , [805](#) , [810](#) , [845](#) , [954](#) , [958](#)

An integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing benefits, other than goods or services at a profit or profit equivalent, as a fulfillment of an entity's purpose or mission (for example, goods or services to beneficiaries, customers, or members). As with a not-for-profit entity, a nonprofit activity possesses characteristics that distinguish it from a [business](#) or a for-profit business entity.

Nonpublic Entity

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [105](#) , [220](#) , [350](#) , [360](#) , [405](#) , [715](#) , [718](#) , [820](#) , [830](#) , [954](#)

Any entity that does not meet any of the following conditions:

- a. Its debt or equity securities trade in a public market either on a stock exchange (domestic or foreign) or in an over-the-counter market, including securities quoted only locally or regionally.
- b. It is a conduit bond obligor for [conduit debt securities](#) that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).
- c. It files with a regulatory agency in preparation for the sale of any class of debt or equity securities in a public market.
- d. It is required to file or furnish financial statements with the Securities and Exchange Commission.
- e. It is controlled by an entity covered by criteria (a) through (d).

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [480](#) , [718](#)

Any entity other than one that meets any of the following criteria:

- a. Has equity securities that trade in a public market either on a stock exchange (domestic or foreign) or in an over-the-counter market, including securities quoted only locally or regionally
- b. Makes a filing with a regulatory agency in preparation for the sale of any class of equity securities in a public market
- c. Is controlled by an entity covered by the preceding criteria.

An entity that has only debt securities trading in a public market (or that has made a filing with a regulatory agency in preparation to trade only debt securities) is a nonpublic entity.

Definition 3 | [Glossary Term Usage](#) | See Topic(s): [715](#)

Any entity other than one with any of the following characteristics:

- a. Whose debt or equity securities trade in a public market either on a stock exchange (domestic or foreign) or in the over-the-counter market, including securities quoted only locally or regionally
- b. That is a conduit bond obligor for [conduit debt securities](#) that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets)
- c. That makes a filing with a regulatory agency in preparation for the sale of any class of debt or equity securities in a public market
- d. That is controlled by an entity covered by a., b., or c.

Conduit debt securities refers to certain limited-obligation revenue bonds, certificates of participation, or similar debt instruments issued by a state or local governmental entity for the express purpose of providing financing for a specific third party (the conduit bond obligor) that is not a part of the state or local government's financial reporting entity. Although conduit debt securities bear the name of the governmental entity that issues them, the governmental entity often has no obligation for such debt beyond the resources provided by a lease or loan

agreement with the third party on whose behalf the securities are issued. Further, the conduit bond obligor is responsible for any future financial reporting requirements.

Definition 4 | NO INCOMING LINKS

Any entity that does not meet any of the following conditions:

- a. Its debt or equity securities trade in a public market either on a stock exchange (domestic or foreign) or in the over-the-counter market, including securities quoted only locally or regionally.
- b. It is a conduit bond obligor for [conduit debt securities](#) that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).
- c. It files with a regulatory agency in preparation for the sale of any class of debt or equity securities in a public market.
- d. It is controlled by an entity covered by the preceding criteria.

Definition 5 | [Glossary Term Usage](#) | See Topic(s): [715](#) , [740](#)

An entity that does not meet any of the following criteria:

- a. Its debt or equity securities are traded in a public market, including those traded on a stock exchange or in the over-the-counter market (including securities quoted only locally or regionally).
- b. It is a conduit bond obligor for [conduit debt securities](#) that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).
- c. Its financial statements are filed with a regulatory agency in preparation for the sale of any class of securities.

Nonreciprocal Transfer

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [810](#) , [845](#) , [972](#)

Nonreciprocal transfer is a transfer of assets or services in one direction, either from an entity to its owners (whether or not in exchange for their ownership interests) or to another entity, or from owners or another entity to the entity. An entity's reacquisition of its outstanding stock is an example of a nonreciprocal transfer.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [958](#)

A transaction in which an entity incurs a liability or transfers an asset to another entity (or receives an asset or cancellation of a liability) without directly receiving (or giving) value in exchange.

Nonrecourse Financing

NO INCOMING LINKS

Lending or borrowing activities in which the creditor does not have general recourse to the debtor but rather has recourse only to the property used for collateral in the transaction or other specific property.

Nonrefundable Minimum Guarantee

[Glossary Term Usage](#) | See Topic(s): [926](#)

Amount paid or payable by a customer in a variable fee arrangement that guarantees an entity a minimum fee on that arrangement. Such a guarantee applies to an amount paid by a customer immediately and an amount that the customer has a legally binding commitment to pay over a license period.

Nonregistered Investment Partnerships—Financial Highlights

[Glossary Term Usage](#) | See Topic(s): [946](#)

Nonregistered investment partnerships, when disclosing financial highlights, shall interpret the terms classes, units, and theoretical investments as follows:

- a. Classes. Nonregistered investment funds typically have one of the following two classes of ownership interest, with one class being the management interest in the fund and the other being the investment interest:
 1. For unitized funds (that is, funds with units specifically called for in the governing underlying legal or offering documents), the management interest usually is a voting class and the investment interest is a nonvoting class. Temporary series of shares (that is, shares that are intended at the time of issuance to be consolidated at a later date with another specified series of shares that remains outstanding indefinitely) are not considered separate classes. Permanent series of a class of share shall be the basis for which that share's financial highlights are determined and presented.
 2. For nonunitized funds, the management interest usually is the general partner class and the investment interest usually is the limited partner class. Generally, a class has certain rights as governed by underlying legal documents or offering documents and local law. Rights to certain investments that do not otherwise affect the rights available under the underlying legal documents and local law do not ordinarily represent a separate share class. For example, rights to income and gains from a specific investment attributed solely to investors at the date the investment is made (side-pocket investments) are not considered to give rise to a share class. Similarly, a temporary series of shares is not considered a share class.
- b. Units. Only funds with units specifically called for in the governing underlying legal or offering documents shall be considered unitized. Some funds may employ units for convenience in making allocations to investors for internal accounting or bookkeeping purposes, but the units are not required or specified by legal or offering documents, and for all other purposes operate like nonunitized investment partnerships. For per-share operating performance, those funds are not considered unitized.
- c. Theoretical investment. The term theoretical investment in paragraph [946-205-50-20](#) shall be considered as the actual aggregate amount of capital invested by each reporting class of investor as of the beginning of the fiscal reporting period, adjusted for cash flows related to capital contributions or withdrawals during the period.

Nonretirement Postemployment Benefits

[Glossary Term Usage](#) | See Topic(s): [220](#) , [712](#)

All types of benefits, other than those provided through a pension or other postretirement plan (see Subtopics [715-30](#) and [715-60](#)), provided to former or inactive employees, their beneficiaries, and covered dependents.

Nonutility Generators

[Glossary Term Usage](#) | See Topic(s): [980](#)

Entities owning electric generating plants built either for their own energy needs or to sell power, usually to rate-regulated entities, under long-term power sales contracts.

Nonvested Benefit Information

[Glossary Term Usage](#) | See Topic(s): [960](#)

The actuarial present value of nonvested accumulated plan benefits.

Nonvested Shares

[Glossary Term Usage](#) | See Topic(s): [718](#)

Shares that an entity has not yet issued because the agreed-upon consideration, such as the delivery of specified goods or services and any other conditions necessary to earn the right to benefit from the instruments, has not yet been satisfied. Nonvested shares cannot be sold. The restriction on sale of nonvested shares is due to the forfeitability of the shares if specified events occur (or do not occur).

Not-for-Profit Entity

[Glossary Term Usage](#) | See Topic(s): [205](#) , [220](#) , [260](#) , [270](#) , [310](#) , [323](#) , [326](#) , [340](#) , [350](#) , [360](#) , [470](#) , [606](#) , [715](#) , [720](#) , [740](#) , [805](#) , [810](#) , [815](#) , [820](#) , [830](#) , [832](#) , [842](#) , [845](#) , [853](#) , [860](#) , [952](#) , [954](#) , [958](#) , [985](#)

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Notional Amount

[Glossary Term Usage](#) | See Topic(s): [815](#)

A number of currency units, shares, bushels, pounds, or other units specified in a derivative instrument. Sometimes other names are used. For example, the notional amount is called a face amount in some contracts.

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NO INCOMING LINKS

See [Nonutility Generators](#).